## 2. Employees

Please refer to the Report on Directors' remuneration on pages 77 to 101 and note 38 of Notes to the consolidated financial statements on page 161 for disclosures relating to the emoluments, share incentives and long-term incentive interests and pensions of the Directors.

The average number of people employed by the Company during the year was:

| | **2019 Number** | 2018 Number |
|---|---|---|
| Manufacturing | **40** | 37 |
| Product development | **54** | 50 |
| Selling and marketing | **52** | 45 |
| Administration | **32** | 30 |
| | **178** | 162 |

Employee benefit costs were:

| | **2019 £ million** | 2018 £ million |
|---|---|---|
| Remuneration | **14.5** | 12.3 |
| Social security costs | **1.9** | 1.6 |
| Pension and other related costs | **1.8** | 1.6 |
| Expense of share-based payment | **0.7** | 0.7 |
| | **18.9** | 16.2 |

## 3. Pensions

**Defined benefit plans**

i) Characteristics and risks associated with the Plans

The Company sponsors two funded defined benefit pension plans in the United Kingdom: the Spirent Communications plc Staff Pension & Life Assurance Plan (Staff Plan) and the Spirent Communications plc Retirement Cash & Life Assurance Plan (Cash Plan). These plans are funded and have full UK HM Revenue & Customs (HMRC) tax-exempt approval. Both schemes are administered by a trustee board which is comprised of representatives from the employer, member nominated trustees and an independent trustee. The trustee board operates in accordance with the Trust Deed and rules of each Plan and acts in the interests of all of its members.

- The Staff Plan is the Company's most significant plan. It provides its members with retirement benefits based on their final salary and length of service. The Staff Plan is closed to new entrants.
- The Cash Plan is primarily a defined contribution arrangement, although there are some legacy defined benefits (Old Section) that have been valued for the purpose of these accounts in accordance with IAS 19 'Employee Benefits'. Members who left service before 1992 are entitled to a cash lump sum on retirement that is based on their salary and length of service. Members of the Old Section are entitled to defined contribution benefits, but with an underpin based on salary and length of service. The Cash Plan is closed to new entrants.

There is also a UK unfunded plan, which consists of a contractual obligation for the Company to top up certain former employees' benefits whose salaries exceeded the statutory earnings cap.

As with the vast majority of similar arrangements in the United Kingdom, the Company ultimately underwrites the risks relating to the defined benefit plans. These risks include investment risks and demographic risks, such as the chance of members living longer than expected.

The plans hold a significant proportion of their assets in equity. Strong future equity returns would be expected to reduce the Company's future cash contributions (and vice versa).

Expected contributions to the defined benefit plans in 2020 are £5.2 million. This includes the contributions agreed with the funded plans' trustees in accordance with UK legislation. The triennial valuation as at 1 April 2018 was in deficit, whereas the IAS 19 accounting valuation is in surplus; therefore, the Company has agreed to pay £5.0 million per annum into the Staff Plan, increasing in line with CPI, through to June 2023 (or earlier if self-sufficiency is reached) in order to clear the funding deficit. Additionally, the Company will fund the plan by an amount equal to 10 per cent of any special dividend paid during the period.

If the contributions currently agreed are insufficient to pay the benefits due, the Company will need to make further contributions.